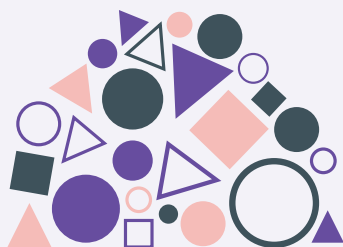


1.1 Diversification

We must adopt this mindset to consider impact on entire portfolio rather than an individual stock while taking decisions. We will diversify our portfolio to overcome the challenges and short-comings that we may face as retail investors.

Do's



- Make sure that our portfolio has an industry-level diversification
- Make sure that our portfolio has a Stock-level diversification.
- Diversify on the basis of market capitalization of companies as well. (small cap, mid cap and large-cap stocks)



Don'ts



- We will refrain from heavily investing in a single stock.
- Do not allocate say 40% of our portfolio to a single sector.

Always have a detailed portfolio with three columns:

Stock	Industry	% of Portfolio
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~~~~~	~~~~~	~~~~~

Monitor the amount of exposure we have to each stock.

What should be our exposure in each industry?

What are the market caps of those industries or companies?